

The 7800 was the next console Atari released—in an effort to revive flagging sales. Atari designed a console with much better graphical capabilities than its predecessors. It also added compatibility with 2600, and later 5200 games, to the 7800. Unfortunately, it was not meant to be. Just as the 7800 was being made ready for release, Atari, the company itself was sold to a Mr Jack Tramiel who wanted to focus on computers. As a result, the release of the 7800 was put on hold. When it was eventually released in 1986, it had to face stiff competition from the NES and the Sega Master System. This, coupled with lack of new game titles, meant that the 7800 performed badly in the markets.

The Sega Master System (SMS) was released in 1986. Sega had been making games for consoles for quite some time, and decided to enter the market themselves after looking at the success of the NES. They designed and sold the SG-1000 and Mark III systems in Japan, before moving into the American and European markets. The SMS was a redesigned Mark III and was better than the NES in terms of hardware. It was never as successful, though. A major factor here was the Nintendo policy of dedicated third-party game developers. Since the NES was so popular, it was hard to find companies that were ready to make games for the SMS. It was also poorly marketed. The SMS did do well in Europe though, especially in areas where the NES hadn't entered.